

## OTS-01 FAQs

1. From where can I get the latest research/trading ideas on options?

The following three resources can be explored for trading ideas and to stay abreast on the latest developments in the field of quant finance including options trading:

- [www.ssrn.com](http://www.ssrn.com)
- [www.arxiv.org](http://www.arxiv.org)
- Google Scholar

2. After COVID was declared a pandemic, why was the pricing of the options of every strike price increased to almost double of that earlier?

Any event which creates uncertainty triggers volatility. Volatility is one of the important factors which determines the price of options and the two are directly related. In the case of COVID, the uncertainty was at its peak. That increased the volatility and hence the option prices went up.

3. What is the importance of open interest in options trading?

Traders use open interest to get an idea about where other traders are trading. We can predict the direction of the underlying based on OI and price of the derivative using the OI-price matrix we covered in the EFS-01 lecture.

4. As a retail trader should we avoid trading when there is high volatility?

It depends on what kind of trading activity you perform and how risk averse you are. Most traders and institutions try to predict the market volatility and trade accordingly. Some believe that forecasting volatility is easier than forecasting the price.

5. How to predict volatility?

You will learn about this in the OTS-03 session.